

THE SOCIAL ASPECTS OF THE IR

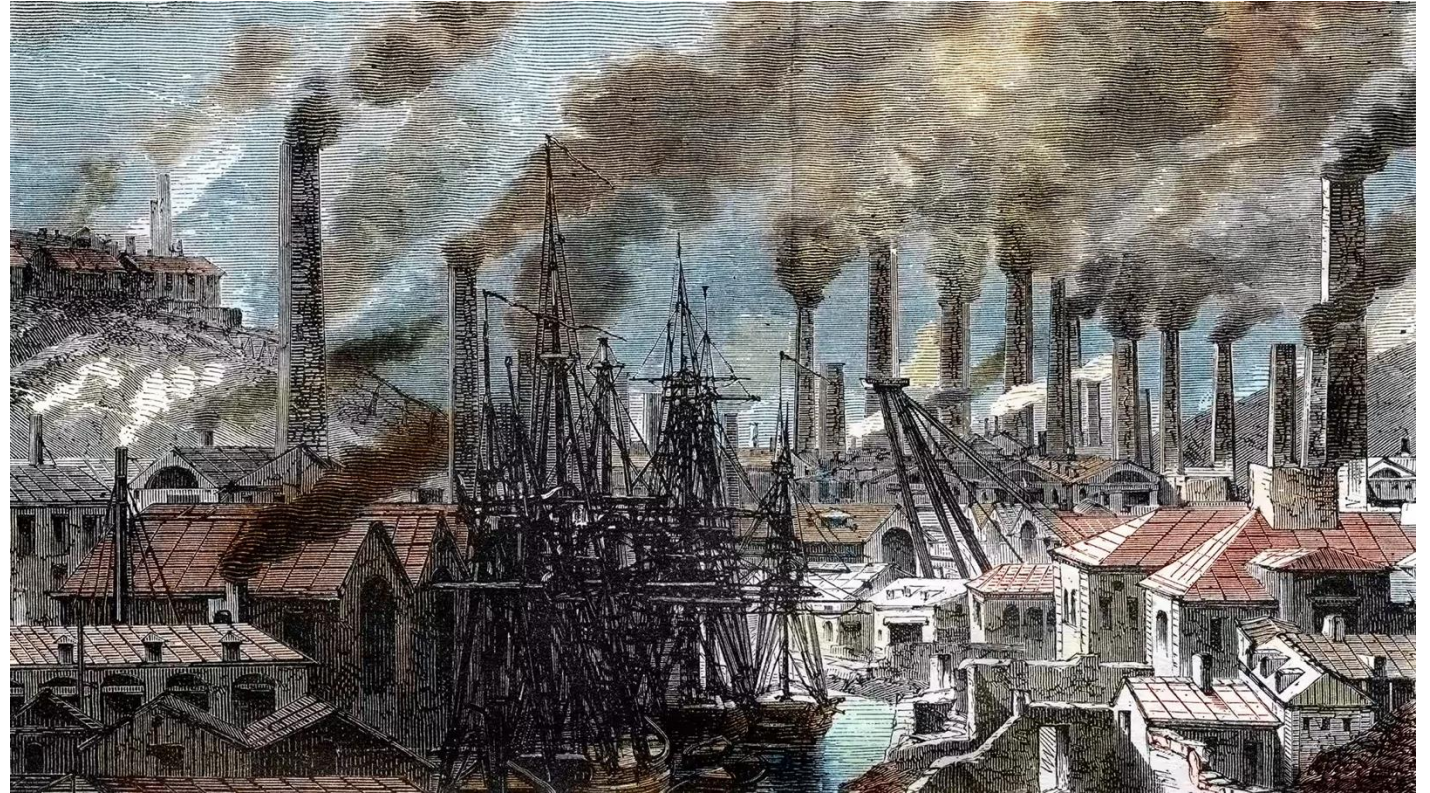
Alfani-Colli chapter 7

Schifano Sonia

30067 a.y. 2025/2026

IN THIS CLASS

- The structural change in society
- Modern Economic Growth and Demographic Transitions
 - Effects
- Living standards
 - Few examples



SOCIETY AND THE IR

Neal-Cameron:

- Shift from the Old Regime: nobility, clergy and common people
- Classification
 - Nobility: living «nobly» without working
 - Haute bourgeoisie: great merchants, professionals (attorneys, notaries)
 - Petite Bourgeoisie: artisans, handicraftsmen
 - Peasants and domestic workers+ indigents and paupers
- End of 18th century we have the IR:
 - Middle classe is the leader

SOCIETY AND THE IR

- At the same time we have the abolishment of feudalism in many part of Europe (Napoleonic Civil Code)
 - Full property rights
 - Land confiscated from the Church and sold

From Land aristocracy to indutrial aristocracy

→A shift in economic and political power from the nobility to the bourgeoisie

→ From ownership of land to industry

	1688	1759	1798	1846	1867
A. Number of families or households					
Landed	31,626	29,070	38,704	52,986	50,695
Bourgeoisie	60,128	84,000	95,879	363,932	436,493
Lower middle	114,602	188,000	252,640	649,396	884,450
Farmers	402,440	379,008	320,000	243,130	223,271
Workers	980,863	1,128,247	1,804,567	2,598,299	3,668,936
Cottagers & paupers	161,672	192,310	439,897	320,648	317,726
Total	1,751,331	2,000,635	2,951,687	4,228,393	5,581,571
B. Distribution of families or households (%)					
Landed	1.8	1.5	1.3	1.3	0.9
Bourgeoisie	3.4	4.2	3.2	8.6	7.8
Lower middle	6.5	9.4	8.6	15.4	15.8
Farmers	23.0	18.9	10.8	5.7	4.0
Workers	56.0	56.4	61.1	61.4	65.7
Cottagers & paupers	9.2	9.6	14.9	7.6	5.7

Source: Robert C. Allen, 'Revising England's Social Tables Once Again', *Oxford University, Working Papers in Economic and Social History*, Number 146, 2016.

WHAT WAS THE IMPACT OF THE IF ON THE DIFFERENT SOCIAL CLASSES?

MODERN ECONOMIC GROWTH AND INEQUALITY: KUZNET

«A country's economic growth may be defined as a long-term rise in capacity to supply increasingly diverse economic goods to its population, this growing capacity based on advancing technology and the institutional and ideological adjustments that it demands. »

Kuznet, 1973.

The Six Characteristics:

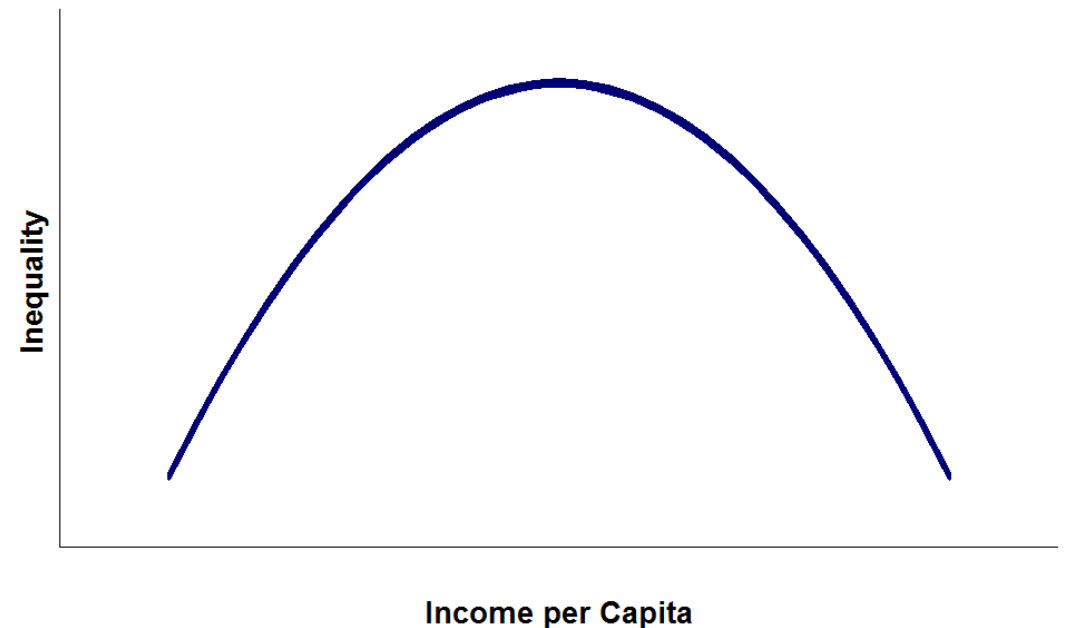
- High rates of growth of per capita product and population
- High rate of rise in productivity
- High rate of structural transformation of the economy
- Structural change of society and its ideology
- Developed Countries can reach the rest of the World
- Limited spread of modern economic growth, despite its worldwide partial effects

MODERN ECONOMIC GROWTH AND INEQUALITY: KUZNET

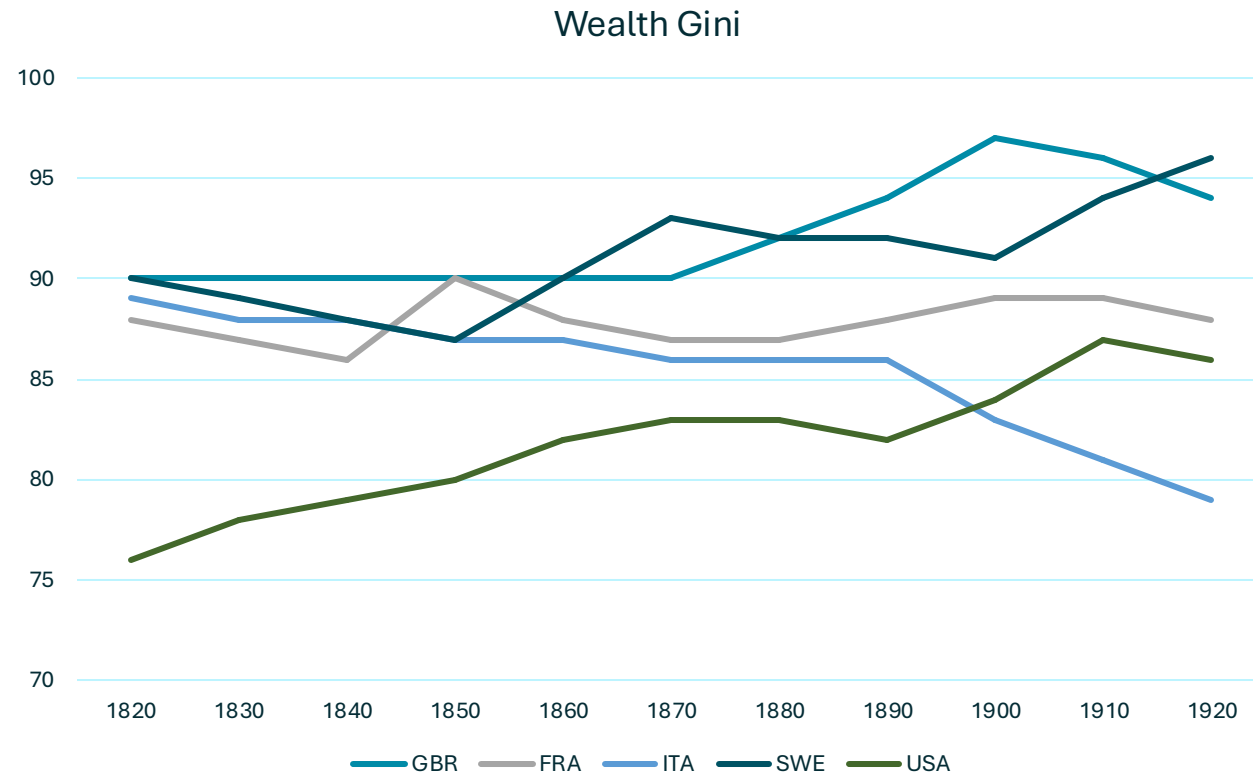
- Transition to modern economy growth
 - **18th century**: slow economic growth, low educational attainment, limited human capital, high fertility
 - **Post-1870**: dynamic economic growth and technological progress, rising educational attainment and living standards, declining fertility
 - The origins of modern economic growth
 - The Industrial Revolution
 - ❖ Rising productivity of labour → higher wages
 - ❖ Increased demand for and returns to education
 - The demographic transition
 - ❖ Declining fertility reduced pressure on living standards
 - ❖ Families preferred ‘quality’ over quantity of children
- **Were these two forces independent or complementary?**

MODERN ECONOMIC GROWTH: EFFECTS

- Simon Kuznets (1955): Transfer of workforce from a sector having low income and productivity (agriculture) to one with high income (industry and services). Under the hypothesis that the differential in income between the two sectors remains constant during the transition, inequality will grow up until 50% of the workforce has transferred. Later, and for the same reasons, inequality will start to decrease.

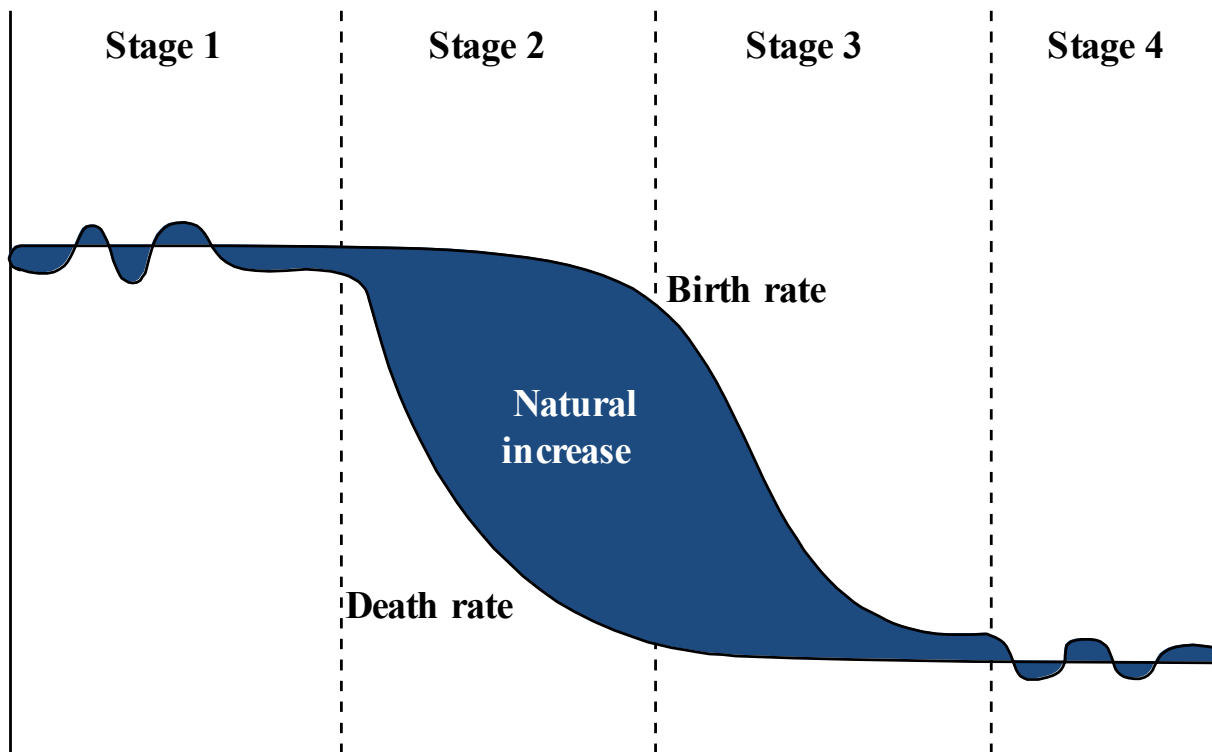


INEQUALITY



Chapter 5 Table 5.5 Gini coefficient of wealth inequality in selected countries, 1820-2010
van Zanden, J. et al. (eds.) (2014), *How Was Life?: Global Well-being since 1820*, OECD Publishing, Paris.

URBAN (EARLY) GROWTH PARADOX

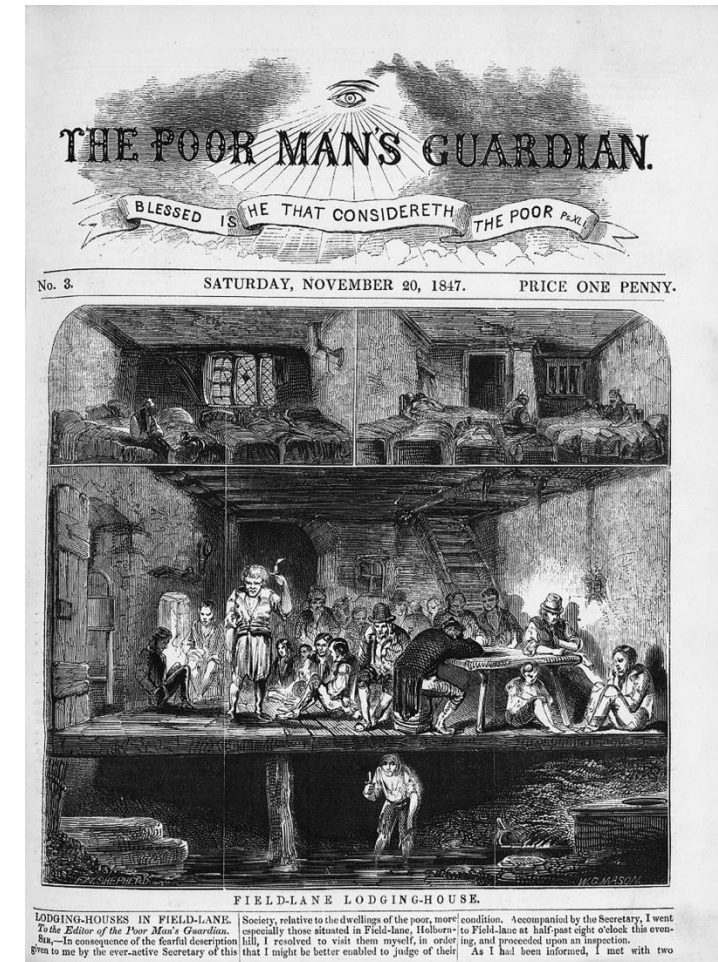


- Productivity growth did not immediately increase wages
 - Concentration of income
 - Decline of handcrafts
 - Increased use of cheap unskilled (incl. child) labour
- 'Urban penalty'
 - Spatial concentration of poor
 - Poor housing and sanitation
 - Detriment to health
- Factory system
 - Discipline: 'dark satanic mills'
 - Exploitative work conditions

LIVING STANDARDS AND THE IR

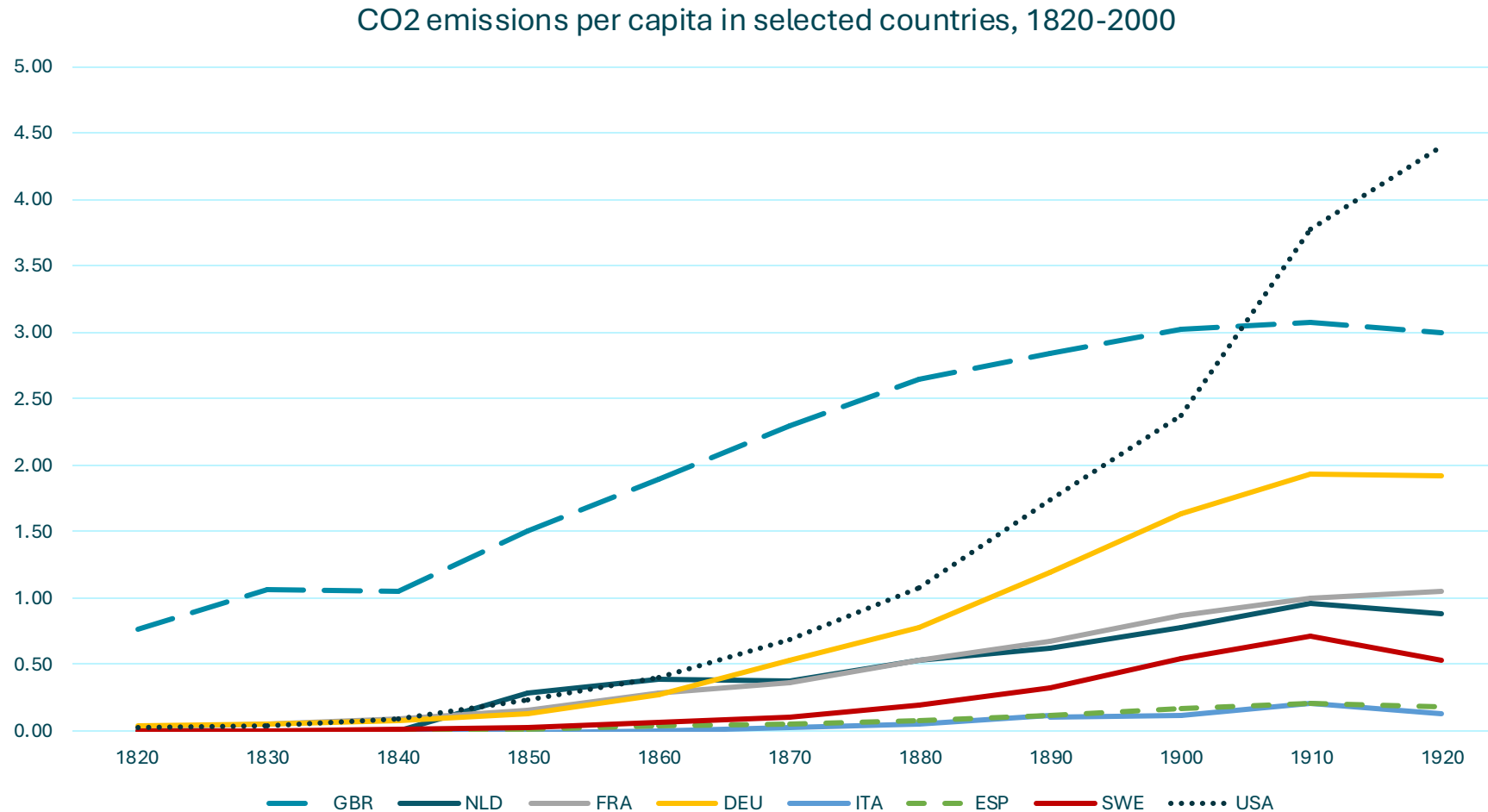
- CO2
- Water pollution → especially in the cities (including the new industrial centers)
 - Absence of sewer system
 - The cholera morbus arrived in Europe in 1831 → role of the poor
- Air pollution → respiratory diseases
 - Tuberculosis
- Problems of the overpopulation and poverty became part of the political agenda
- Inquiries on the sanitary conditions
- In the second half of the 19th century, public health regulated by the central government

In the long run, this reduced health inequalities and increased life expectancy



<https://www.nationalarchives.gov.uk/education/resources/victorian-industrial-towns/lodging-houses/>

CO2 EMISSIONS 1820-2000



Chapter 10 Table 10.9 CO2 emissions per capita in selected countries, 1820-2000
van Zanden, J. et al. (eds.) (2014), *How Was Life?: Global Well-being since 1820*, OECD Publishing, Paris.

KNOWLEDGE AND THE IR



We discussed the important role played by knowledge before and during the industrial revolution

- Complementarity between university/science and industry

Promotion of education:

- Britain 1833 – Factory Act – introduced elementary education for apprentices provided by the owner of textile mill (2 hours per day) and limited working hours
- Britain - Forster's Education Act – children 5 to 12
 - 1870 – pence + not mandatory
 - 1891 – no pence + mandatory
- France – French Revolution - free- publicly supported education
 - disregarded until after 1840

KNOWLEDGE AND THE IR

- How were countries doing in terms of literacy and education?
 - Adult literacy of selected Countries (percentage)

Country	Ca. 1850	Ca. 1900
Sweden	90	(99)
United States (White Only)	85-90	94
Scotland	80	(97)
Prussia	80	88
England and Wales	67-70	(96)
France	55-60	83
Austria (no Hungary)	55-60	77
Belgium	55-60	81
Italy	20-25	52
Spain	25	44
Russia	5-10	28

Neal and Cameron, A Concise Economic History of the World, Oxford University Press, 2017.

KNOWLEDGE AND THE IR

- Primary school enrollment rates from selected Countries (per 10,000 Population)

Country	1830	1850	1900
United States	1,500	1,800	1,969
Germany	1,700	1,600	1,576
United Kingdom	900	1,045	1,407
France	700	930	1,412
Spain	400	663	1,038
Italy	300	463 (1860)	881
Russia	-	98 (1870)	348

Neal and Cameron, A Concise Economic History of the World, Oxford University Press, 2017.

LIVING STANDARDS AND THE IR: MOKYR

«Did the changes in British economy actually make people living at the time better off? Naturally, all depends on who people were»

Mokyr (2009)

- Optimists: before 1850 improvement was quite noticeable, especially after 1815
- Pessimists: Living standards improved very little
- Moderates: the rise in living standards before 1850 was modest and that improvements for most of the British working class were slow and late

The debate has been indecisive:

- Data availability
- Concurrent events during the Industrial Revolution (wars, epidemics)
- Change in the basket of goods consumed

LIVING STANDARDS AND THE IR: MOKYR

Are real wage statistics a good proxy for living standards?

- Real wages for industrial sector → good in quantity and quality
- Real wages for domestic sector → rare
- Wage in kind common practice before the 18th century

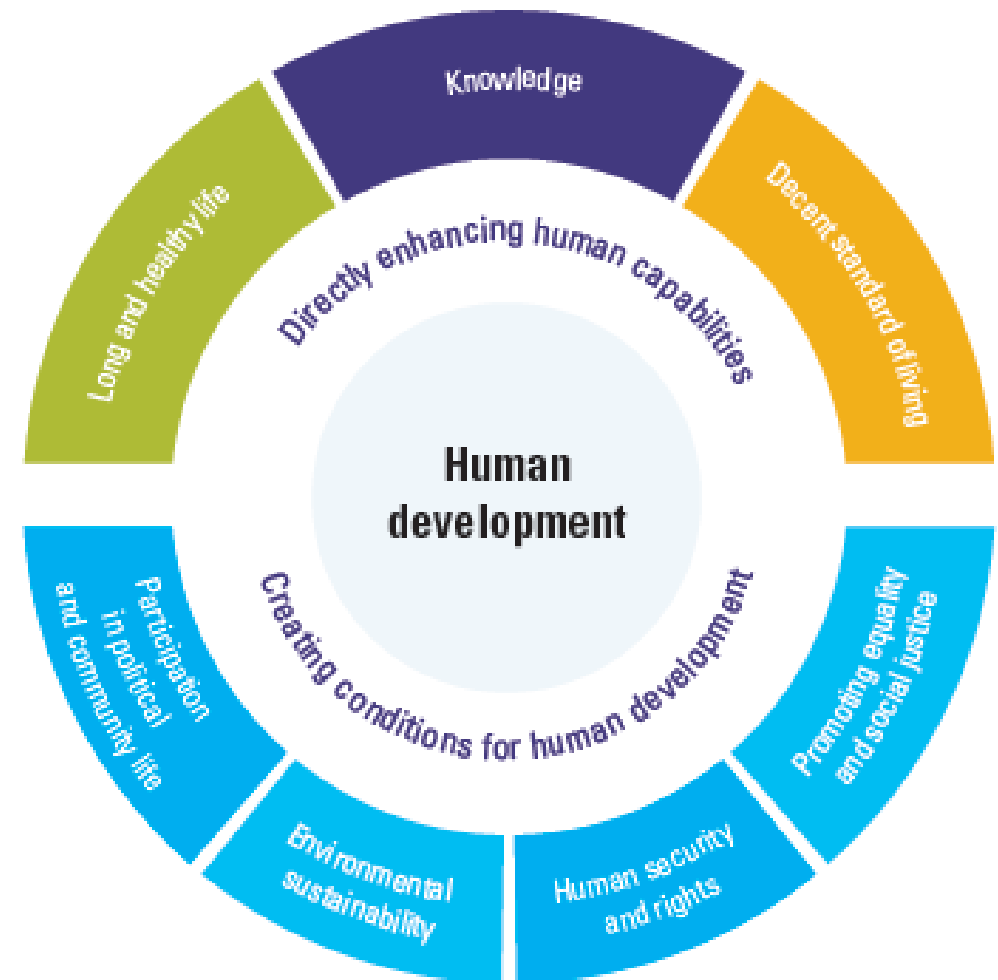
Comparisons between pre and first industrialisation are difficult

LIVING STANDARDS AND THE IR: MOKYR

- **Biological indicators** – health – height – mortality - morbidity
 - Reflection of inequality
 - Affected by where people were living (urban-rural)
 - Affected by medical progresses (vaccination against smallpox)

The **HDI (Human Development Index)** is a more comprehensive index and it uses:

- Economic measures
- Biological indices and anthropometric data
- Political and social indicators



THE HUMAN DEVELOPMENT INDEX

Table 9.5 Human Development Index, 1820–1870

	UK	France	Germany	Netherlands	Sweden	Italy	Spain	Turkey	Russia
1820	0.383	0.303	0.344	0.380	0.403	0.221	0.210	0.134	0.129
1870	0.489	0.456	0.448	0.473	0.481	0.284	0.284	0.182	0.196

Source: Calculations based on Crafts, 2002, and Baten and Pamuk, 2007.

LIVING STANDARDS AND THE IR: MOKYR

- It is important to distinguish the *actual* conditions from the possible *counterfactual*:

«While actual conditions may not have improved much before 1850, the achievement of the first two generations of the Industrial Revolution was to prevent the growing population and the external negative shocks from creating the kind of pressure that could have caused living standards to fall dramatically»

Mokyr (2009)